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TESTING TIMES
Noel Tata, Chairman, Tata Trusts

PTI

▶ TATA TRUSTS

THE TRUST DEFICIT

The Centre has sought to bridge the rift among the trustees, but the discord within Tata Trusts is unlikely to abate anytime soon

By M.G. ARUN

THE MOOD WAS SOMBRE AT THE BOARD MEETING OF TATA TRUSTS ON OCTOBER 10. Just three days earlier, a few key trustees, including chairman Noel Tata, had been summoned to New Delhi—along with Tata Group chairman N. Chandrasekaran—for a meeting with Union home minister Amit Shah and finance minister Nirmala Sitharaman. It was dispute resolution time—at least, a visible attempt had to be made, so as to calm the waters.

Tata Trusts is the philanthropic arm of the Rs 16 lakh crore Tata Group, embodying a century-old legacy. But it also has a key oversight role in corporate governance by virtue of controlling 66 per cent of Tata Sons, the group's holding company. And of late, there had been widening differences among the members of Tata Trusts—over board appointments in Tata Sons, as also its proposed listing. The discord, spilling from the boardroom into the public domain, risked paralysing decision-making across the 157-year-old salt-to-software conglomerate and unnerving investors at home and abroad. Already, the 29 listed Tata companies had lost Rs 6.6 lakh crore in market capitalisation this year, partly due to the US curbs on H1B visas that hit shares of flagship Tata Consultancy Services (TCS) particularly hard.